Gutz Evaluation of Lifecare Advantage

Dave Gutz 2025 - 04-08

The Main Assumptions

LC	Single	Double
Entrance	$ 855,000	$ 900,000
Monthly	$ 8,100	$ 9,600

Lifecare	Independent	Assisted
Both in Unit 304	$ 9,600	$ 0
1 in #304 1 in AL	$ 8,100	$ 0
Both in 1 BR AL	$ 0	$ 0

CC	Single	Double
Entrance	$ 442,000	$ 481,000
Monthly	$ 3,550	$ 3,750

Continuing Care	Independent	Assisted
Both in Unit 304	$ 3,750	$ 0
1 in #304 1 in AL	$ 3,550	$ 0
Both in 1 BR AL	$ 0	$ 0

Summary – We can have Lifecare

- Starting with $6.3M gives us 'room to maneuver' **We'll have portfolio growth despite Lifecare**
- The more assisted living time, the more the benefit of Lifecare. And at short assisted living time Lifecare is a loss.
- Break-even years depend on time spent in Independent living

Years Independe	Break-even Pt	Mean Worth at End	Range
5	4 yrs	Approx $ 6.3M	
10	5 yrs	Approx $ 6M	
15	6 yrs	Approx $ 6M	

- Decision is easier given initial worth. Differences between CC and LC are smaller than uncertainty of markets – as you'll see

Variation Story

- Lifecare as an investment will usually have positive ROI
  - So does Continuing Care - not much different there. Both will likely gain 3x
  - We will likely lose $1M compared to CC
  - But that isn’t much difference compared to market uncertainty 300%
  - The Gutz portfolio is professionally managed quality Equities and %40 Bonds. It will have very stable ROI compared to the market. A crash should not affect us as much as for others

Intangibles

- Lifecare offers shelter from markets during assisted living

- Lifecare offers shelter from the David Gutz Trust during assisted living (maybe Suzanne’s changes aren’t needed anymore)

David and Katherine's Monetary Split

Kathy's share based on 30% housing and her normal share for entering CC

Kathy savings $ 861,000

- David savings $ 4,808,000
  - CC 2:1 → $ 481,000 = $ 320,700 + $ 160,300
  - LC → $ 900,000 = $ 739,700 + $ 160,300

1/3 of CC Entrance

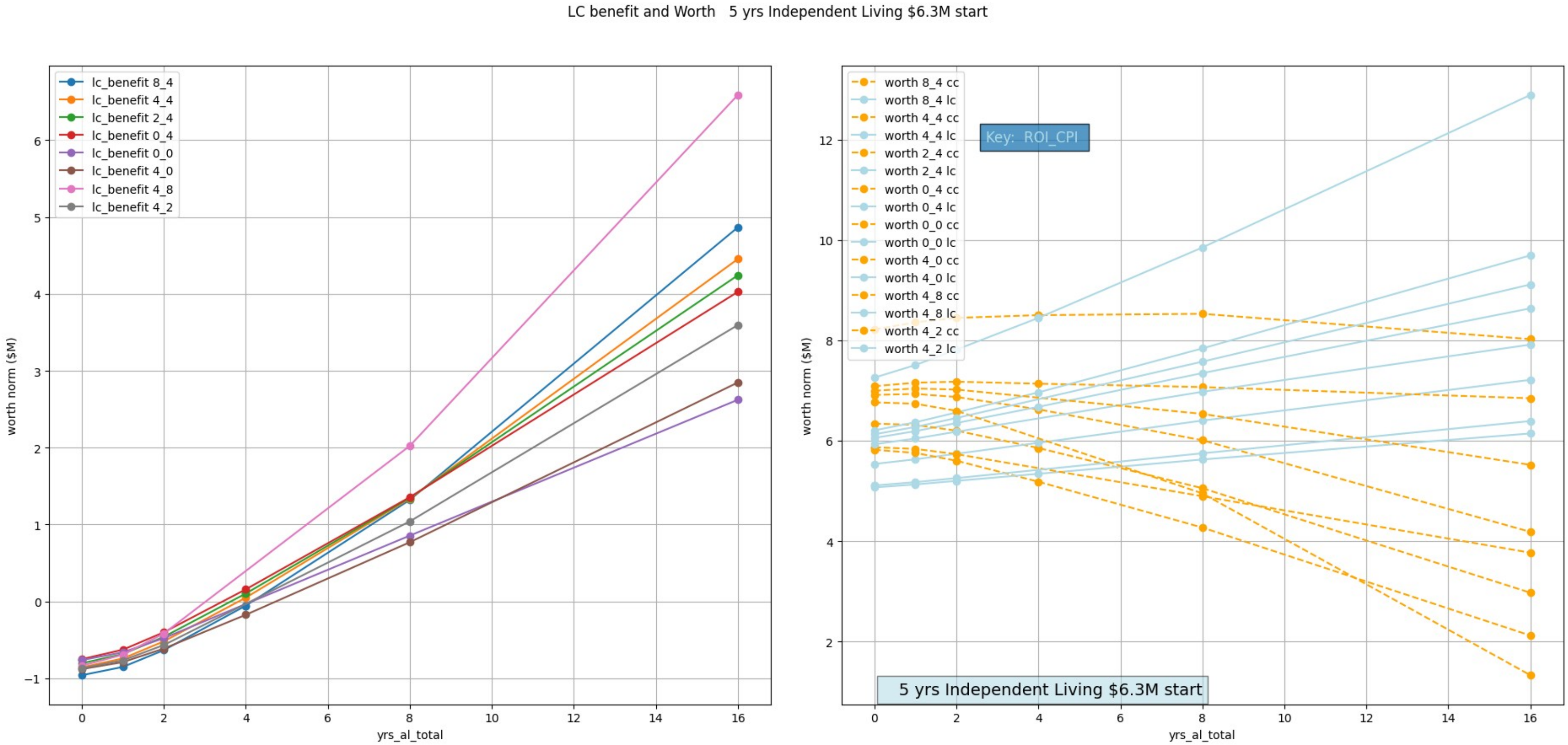
CC	Single	Double
Entrance	442,000	481,000
Monthly	3,550	3,750

30% of take-home

- Kathy take-home $ 4,219 → < $ 1,265 housing
- David take-home $ 9,105. His share $ 8,335
  - $ 9,600 = $ 8,335 + $ 1,265
- We both need to check if monthly LPL hits are needed

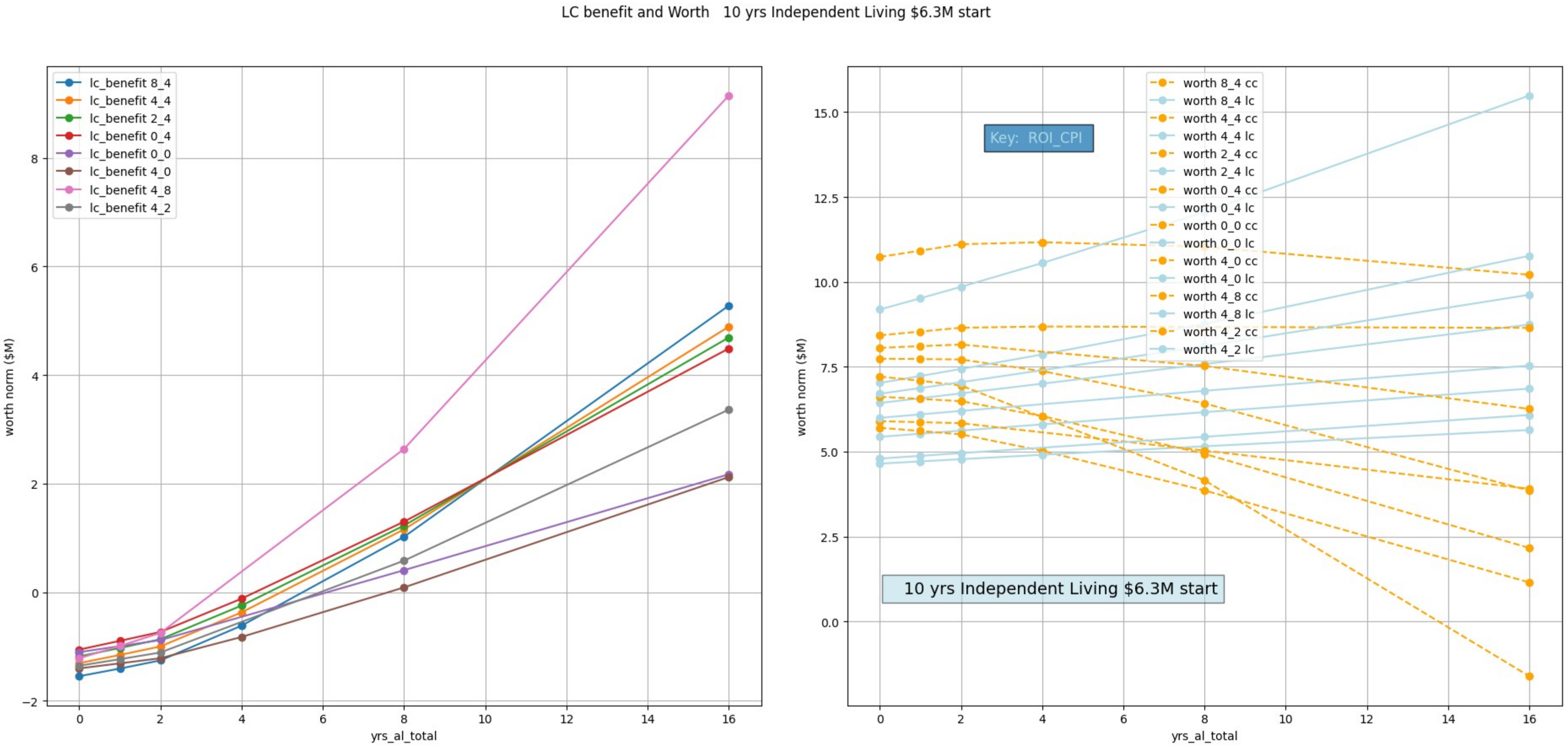
LC	Single	Double
Entrance	855,000	900,000
Monthly	8,100	9,600

5 yrs Independent



All $ normalized to $2026

10 yrs Independent



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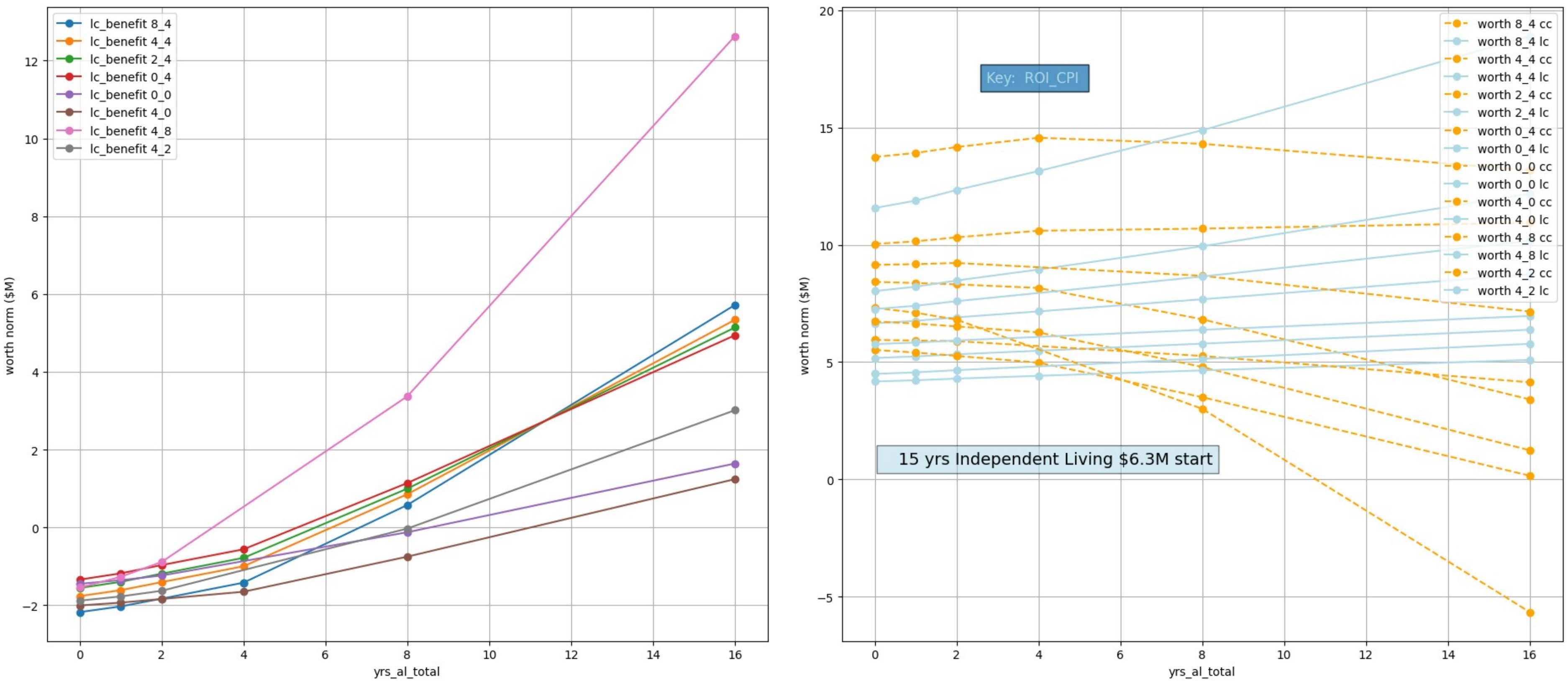
15 yrs Independent

LC benefit and Worth   15 yrs Independent Living $6.3M start



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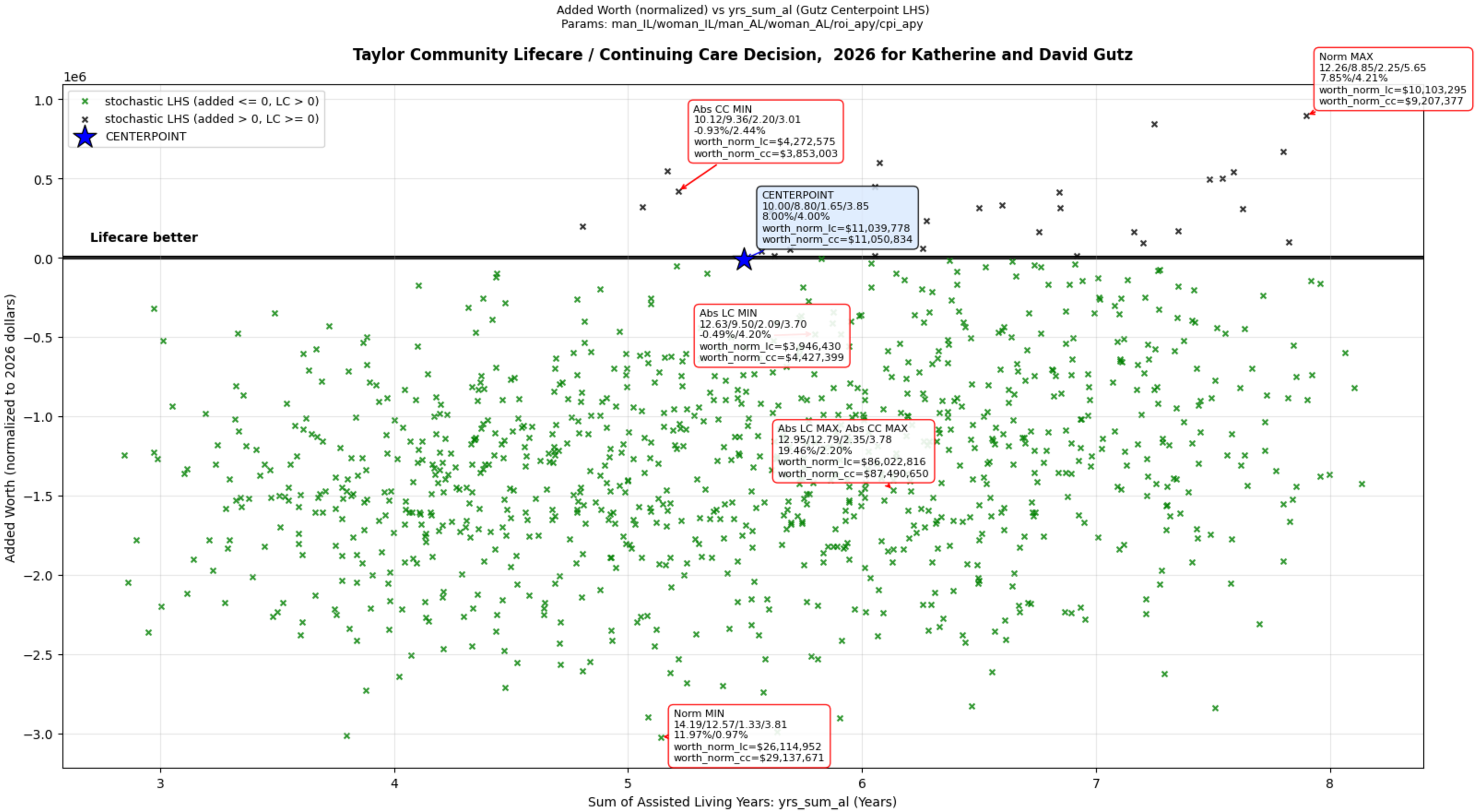
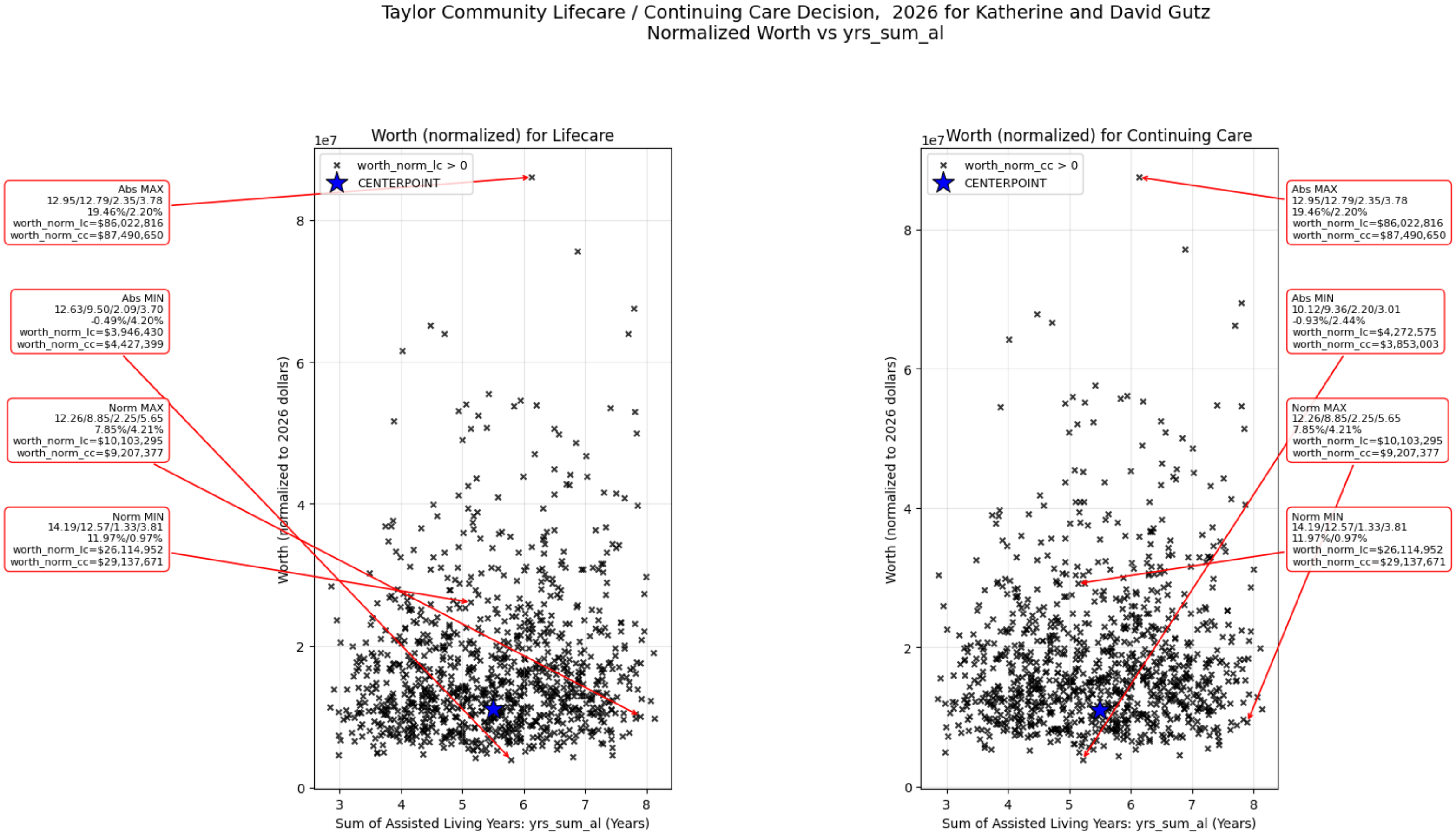
Relative Returns



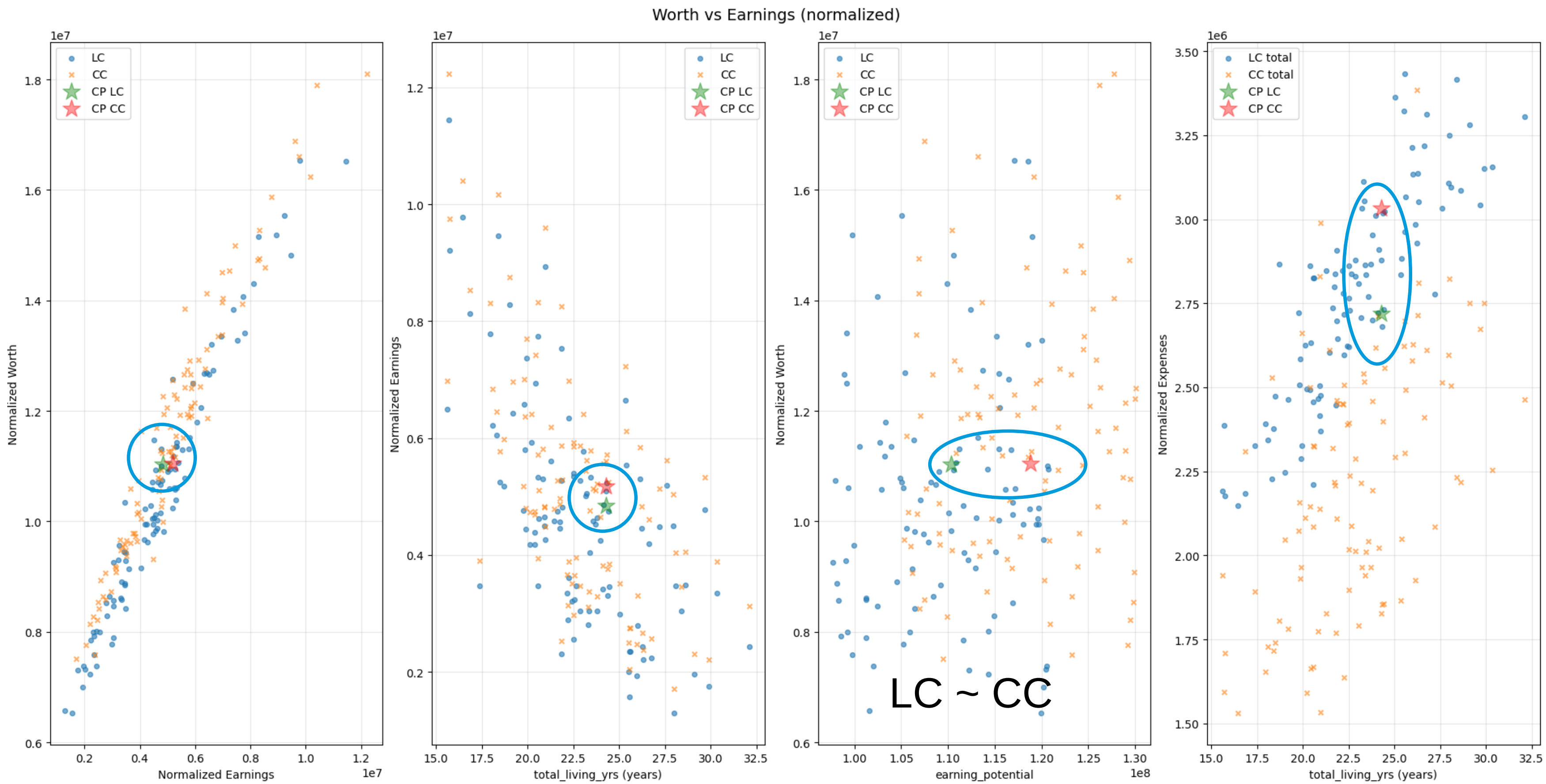
All $ normalized to $2026

Absolute Returns



All $ normalized to $2026

Trends – LC and CC close, within wild markets



HUGE MARKET VARIATION

All $ normalized to $2026

Repeat Trends for Fixed IL, AL yrs